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Working Note:

Debtors	: 40,000
Less: Further bad debts	: 2,000
	38,000

Provision for bad and doubtful debts at 5% : 38,000 x 5% = ` 1,900

Illustration 11

From the following balances as on 31st December, 2017, prepare profit and loss account.

Particulars	`	Particulars	`
Gross profit	50,000	Rent received	2,000
Salaries	18,000	Discount received	3,000
Office rent paid	12,000	Carriage outwards	2,500
Advertisement	8,000	Fire insurance premium	6,500

Adjustments:

(a) Rent accrued but not yet received ` 500

(b) Fire insurance premium prepaid to the extent of ` 1,500

(c) Provide manager's commission at 10% on profits before charging such commission.

Dr. Profit and Loss Account for the year ended 31st December, 2017 Cr.

Particulars	`	`	Particulars	`	`
To Salaries		18,000	By Gross profit b/d		50,000
To Office rent		12,000	By Rent received	2,000	
To Advertisement		8,000	Add: Rent accrued	500	2,500
To Carriage outwards		2,500	By Discount received		3,000
To Fire insurance premium	6,500				
Less: Prepaid	1,500	5,000			
To Manager's commission		1,000			
To Net profit (transferred to capital account)	-	**9,000**			
		55,500			55,500

Working note:

$$\text{Manager's Commission} = \text{Net profit before charging commission} \times \frac{\text{Rate of commission}}{100}$$

Net profit = 55,500 – (18,000 + 12,000 + 8,000 + 2,500 + 5,000) = ` 10,000